

Focus: Tariffs back in focus as Section 122 expiry nears

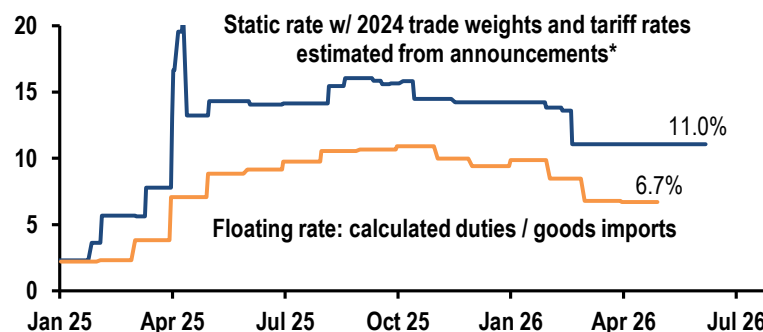
While the Middle East conflict dominates headlines, recent developments require a reassessment of the state of tariffs in the US war on trade. After the courts invalidated the IEEPA tariffs earlier this year, and with the upcoming expiration of Section 122 tariffs on July 24, [the administration is shifting toward Sections 301 tariffs](#). The two 301 probes cover (i) [forced-labor enforcement across 60 economies](#) (USTR floated 10%–12.5% tariffs; comments due July 6) and (ii) “structural excess capacity” across 16 economies (comments closed April 15; no tariff rates announced yet).

These actions are broader and faster-moving than the 2017–18 China measures, but may face heightened legal risk given the courts’ emphasis on statutory text rather than the administration’s interpretation of trade laws. USTR has also proposed a 25% base tariff on Brazil (effective ~19% with exemptions). The combination of new tariffs and court scrutiny points to another round of prolonged policy uncertainty, with headline risk broadening from geopolitics to tariffs, supply chains, and legal outcomes.

US tariff rates have fallen in recent months. February’s US Supreme Court decision striking down the IEEPA-based duties cut the average tariff on US imports by roughly 2.5%-pts to about 11% (using static 2024 weights). In effect, the US administration is using Section 122 to apply an average tariff of 10% on trade with the rest of the world (below the ~15% IEEPA headline average). Yet observed tariff rates (calculated duties over imports) have run well below 10% this year, at an estimated 6.7% in April. The gap largely reflects broad exemptions, especially for energy, pharmaceuticals, and electronics, as well as USMCA-compliant trade. Even with higher-than-10% Section 232 tariffs on metals and autos, the shift in US imports toward lower-tariffed products and source countries has kept the observed average meaningfully below headline rates.

US effective tariff rates

%; floating thru April JPM estimate



Source: Yale Budget Lab, US Census Bureau, J.P. Morgan. * Yale Budget Lab estimate.

The **forced-labor Section 301** tariffs have been announced but not implemented, and are expected to replace the temporary Section 122 regime when it lapses on 24

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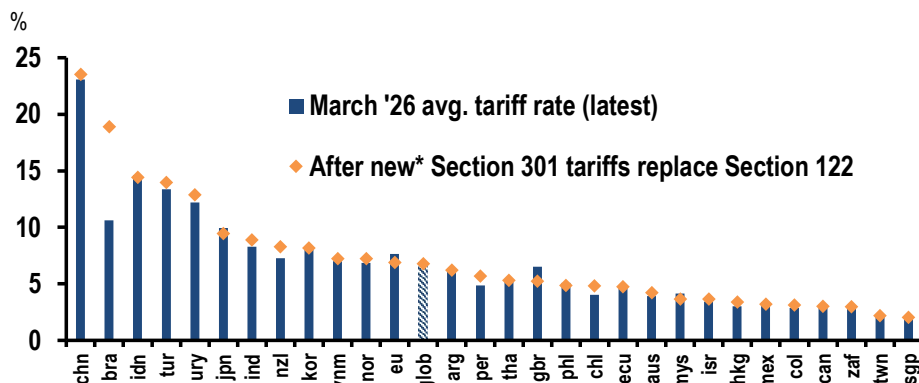
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July, alongside the newly-announced Brazil tariffs. As proposed, these changes would keep the US average effective tariff rate close to current levels. The forced-labor Section 301 measures target roughly 60 economies (representing 99% of total US trade) and focuses on whether countries have failed to adopt and enforce prohibitions on imports produced with forced labor that could distort competition and disadvantage US businesses.

The recommended Section 301 remedy is a two-tier tariff: 10% for jurisdictions with bans on forced labor but weak enforcement (e.g., Canada, Ecuador, the EU, UK, Indonesia, Mexico) and for countries with completed “agreements on reciprocal trade” (including USMCA partners); and 12.5% for the remaining investigated jurisdictions. Exemptions are once again broad—covering Section 232 goods and selected foodstuffs, fuels, pharmaceuticals, gold, and semiconductors/electronics—and are even more expansive than under IEEPA and current Section 122 carve-outs, notably adding aircraft and additional machinery.

US tariff rates on select countries



Source: J.P. Morgan, Global Trade Alert, US Census Bureau. *Forced labor and Brazil-specific announced tariff remedies.

By country, the new Section 301 measures would raise Brazil’s effective tariff rate the most. A separate [Section 301 action on Brazil](#)—citing “unreasonable” trade practices that “burden or restrict US commerce”—would lift the headline tariff on Brazilian exports to the US to 25%. While many products such as coffee, meat, rare earths, orange juice, aircraft, and equipment would continue to be exempt, the imposition of 50% tariffs on steel imports raises the weighted average tariff to 19%—an 8%-pt increase. Still the [impact on Brazil’s economy should be limited](#) given its low direct trade exposure to the US and stronger oil exports. Tariffs on other major economies would be broadly unchanged on net, with small increases for some offset by small declines elsewhere, largely reflecting the two-tier structure.

Economies in the 10% tier, including the European Union and UK see their average ease a little as the broad Section 122 surcharge lapses and the targeted duties cover only part of their trade. Canada and Mexico remain close to 3%, because they hold USMCA exemptions that cover much of their trade. Economies in the 12.5% tier, such as Vietnam and India, edge up by roughly half a point. China—already the most heavily tariffed through its existing Section 301 and the Section 232 duties—edges up but stays near 23%.

US tariff rates as new* Section 301 replace Section 122

	2024 avg.	March '26 (latest)	Section 301 tier	JPM estimate +Section 301 - Section 122	%-pt chg from current
% observed tariff rate					
Global	2.3	6.8		6.8	-0.1
DM					
Euro area	1.2	7.7	10.0	6.9	-0.8
Japan	1.5	9.9	12.5	9.4	-0.5
United Kingdom	1.0	6.5	10.0	5.2	-1.3
Norway	0.6	6.8	12.5	7.2	0.4
Sweden	1.4	11.6	10.0	10.6	-1.0
Switzerland	0.6	4.9	12.5	5.2	0.4
Canada	0.1	3.2	10.0	3.0	-0.1
Australia	0.1	3.9	12.5	4.2	0.3
New Zealand	1.1	7.3	12.5	8.3	1.0
LatAm					
Argentina	1.0	6.3	10.0	6.2	0.0
Brazil	1.3	10.6	25.0	18.9	8.3
Chile	0.0	4.0	12.5	4.8	0.8
Colombia	0.1	2.9	12.5	3.1	0.3
Mexico	0.2	3.4	10.0	3.2	-0.2
Peru	0.1	4.9	12.5	5.7	0.8
Ecuador	0.4	4.7	10.0	4.7	0.0
EM Asia					
China	10.9	23.1	12.5	23.5	0.5
India	2.4	8.3	12.5	8.9	0.6
South Korea	0.2	8.2	12.5	8.2	0.0
Taiwan	0.9	2.3	10.0	2.2	-0.1
Hong Kong	1.0	3.0	12.5	3.4	0.4
Malaysia	0.6	4.2	10.0	3.7	-0.5
Singapore	0.1	1.9	12.5	2.0	0.1
Thailand	1.6	5.3	12.5	5.3	0.0
Philippines	1.4	5.1	12.5	4.9	-0.2
Indonesia	4.9	14.6	10.0	14.4	-0.2
Vietnam	3.8	7.0	12.5	7.2	0.2
EMEA EM					
Czechia	1.2	8.8	10.0	7.8	-1.0
Poland	1.4	9.2	10.0	7.9	-1.3
Hungary	1.3	5.9	10.0	5.5	-0.4
Romania	2.4	12.4	10.0	11.6	-0.8
Turkey	3.3	13.4	12.5	14.0	0.6
South Africa	0.3	2.8	12.5	3.0	0.2
Israel	0.1	3.4	12.5	3.6	0.2

Source: US Census Bureau, Global Trade Alert, J.P. Morgan. *Forced-Labor and Brazil-specific Section 301 tariffs

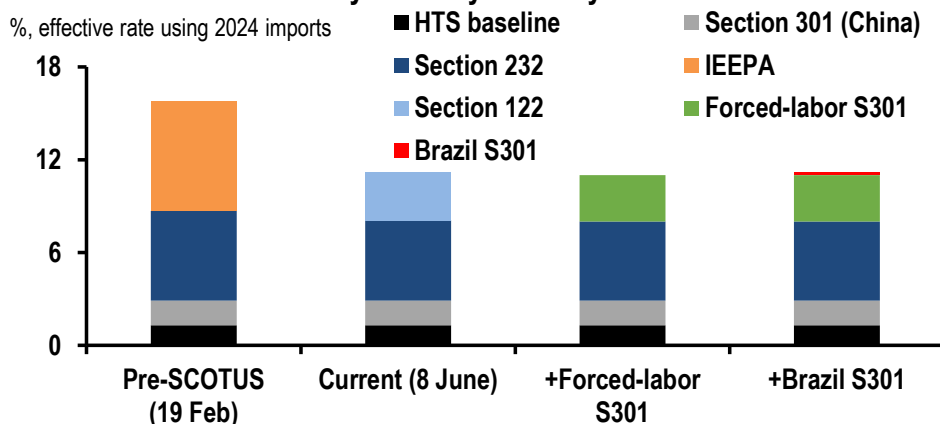
In the 10% tier, Section 122 and Section 301 share the same headline rate, but effective rates can still fall because Section 301 narrows the taxable base with additional exclusions—most importantly for aircraft. Under Section 122, aircraft and jet-engine lines paid the surcharge on their full value. Under the proposed duty, only the estimated non-civil share—about a tenth of value—would be dutiable, implying an effective rate near 1% rather than 10%. This is why France—with US-bound exports concentrated in airframes and jet-engine parts—sees the

largest decline among major European suppliers. Additional exclusions, particularly for machinery and foodstuffs, explain most of the remaining gap.

The Section 301 investigation and proposed tariffs look like a straightforward effort to recreate the broad IEEPA/Section 122 tariff regime, rather than the more targeted, country-specific approach Section 301 has historically been used for. [Litigation seems likely, and the outcome will be important, but either way the process will raise trade policy uncertainty.](#) The next step is likely to be a **Section 301 tariff aimed at countries with “foreign structural excess capacity and production”**, namely those where government policies have driven production levels above market demand through subsidies and state-owned enterprises, generating overcapacity that harms U.S. industries. These investigations began in March and are expected to conclude in “weeks” according to US Trade Representative Greer. A key question is whether the associated tariffs will be stacked on top of existing tariffs.

Separately, the administration continues to expand the scope of **Section 232 tariffs on metals**. Over the past year, Section 232 tariffs have been extended to a broader set of downstream “derivative” products—an approach now being challenged in court. In August 2025, more than 400 HTS codes covering downstream steel and aluminum products were added as Section 232 “derivatives,” alongside a tiered rate structure: 50% on primary metal articles, 25% on substantially metal-intensive derivatives, and a temporary 15% floor on industrial and electrical grid equipment through end-2027. The latest orders i) expand Section 232 derivative coverage to include aluminum lithographic plates and steel racks, and ii) cut certain Section 232 “derivative” tariffs on agricultural, industrial, and home-improvement equipment from 25% to 15% through end-2027. Quantifying the direct impact of these changes is difficult because estimated rates are highly sensitive to the metal share of each finished good, but on net we expect these changes to lower Section 232 tariffs (Global Trade Alert points to 0.7%-pt reduction in the average effective tariff rate).

US tariff rate contribution by statutory authority



Source: J.P. Morgan, Global Trade Alert, US Census Bureau.

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